

POST OFFICE SAVINGS ACCOUNT/ FIXED DEPOSITS/ RECURRING DEPOSITS

Earlier, the Indian Post Office was much more wide-spread than the bank branches. Hence the Government of India decided to offer banking services through Post Offices. This was done to improve financial inclusion. The banking facilities include a savings account, fixed deposit account, and recurring deposit account. These are exactly the same as the ones offered by banks. The products, risk-return, and suitability are identical to those of banks. Let us understand the important features of the same.

INTEREST	In line with Public Sector Banks
TENURE	As per the scheme and product selected
TAX TREATMENT	No preferential treatment is given in terms of tax.
SUITABILITY	For those who can access banking, banks are always advisable as they have a larger variety of offerings. Post Office Schemes are suitable for those who cannot access banks or it is too far from their place. However, with digital banking gaining prominence, this will reduce